

Amazon.com, Inc.

AMZN NASDAQ

Buy **\$254.64 ▼ 2.03%** **12M Price Target \$310.00** **52-Week Range \$196.00 – \$287.20**

Market Cap \$2.75T

AMZN: Profit-Taking After Rally, AWS Still The Story

WHAT HAPPENED

- AMZN dropped 2% on light volume (22.9M vs usual 35M) after a 4-day run from \$251 to \$260 — this looks like plain profit-taking, not a thesis breaker. When volume is BELOW average on a down day, it usually means sellers aren't panicking, just trimming.
- The one wrinkle: unusual put buying at \$255 and \$257.50 strikes expiring this month — someone paid real money (\$12M+ notional) betting on more downside into October expiration. Could be a hedge, could be someone who knows something ahead of Q3 earnings late October.

WHY IT MATTERS

Here's what I think is really going on: energy and consumer staples are leading today (+2.97% and +2.12%), which is classic defensive/inflation-trade rotation — money is moving OUT of mega-cap tech and INTO stuff that benefits from higher commodity prices. That's a macro signal, not an Amazon-specific problem. The CEO of Worldwide Stores selling 1,000 shares is noise (that's \$251K for a guy who makes tens of millions) — ignore it. The bigger thing to watch: with earnings about three weeks away and heavy put buying at the money, the options market is pricing in a bumpy ride into the print. If AWS growth comes in above 18% year-over-year, this stock blows through \$280. If it disappoints, those puts pay off and we revisit \$240.

POLICY & POLITICAL WATCH

Two live wires: (1) The FTC antitrust case against Amazon is heading toward trial phase — any remedy talk (forced spin-off of AWS or marketplace changes) is the single biggest tail risk, though a breakup is still viewed as unlikely. (2) Trump-era tariff policy on Chinese goods is directly margin-relevant — Amazon's third-party sellers import heavily from China, and every tariff escalation squeezes seller economics and eventually Amazon's take-rate. On the tailwind side, federal AI infrastructure spending continues to favor AWS as the government's preferred cloud (JWCC contract), and that pipeline is probably worth \$10B+ over the next few years.

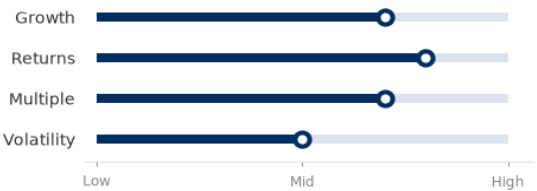
IS IT EXPENSIVE?

At \$254, Amazon trades at roughly 37x forward earnings — meaning you're paying \$37 for every \$1 of profit expected next year. That's not cheap, but it's reasonable for a company where AWS and advertising (the high-margin businesses) are growing 15-20% and now make up most of the profit. The retail business is basically a free option at this valuation — if margins keep expanding there, the multiple looks downright fair.

Key Data

Price (USD)	\$254.64
12M Price Target	\$310.00
Upside / (Downside)	+21.7%
Market Cap	\$2.75T
FY2026E Revenue	\$710M
FY2027E Revenue	\$785M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.20
Fwd P/E	37.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$245.00
6 Months	\$300.00	\$280.00	\$235.00
1 Year	\$340.00	\$310.00	\$220.00
2 Years	\$400.00	\$350.00	\$240.00
5 Years	\$550.00	\$450.00	\$280.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.97%) and Consumer Staples (+2.12%) — classic defensive rotation, suggests money is worried about tech valuations and/or betting on sticky inflation. Financials catching a bid too, likely on steeper yield curve expectations.

COOLING OFF: Mega-cap tech is quiet today — not crashing, but not leading. When tech underperforms on a day energy rips, that's usually a short-term rotation, not the start of a bear market.

ROTATION WATCH: Money is moving defensive, which historically happens before earnings season when investors de-risk. Watch if this persists more than a week — one day is noise, five days is a trend.

RELATED PLAY: If you believe AWS is the real story, the second-order play is semiconductors (NVDA, AVGO) and data center REITs (EQIX, DLR) — they get paid regardless of which hyperscaler wins.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy sector leader catching the inflation/geopolitical bid today.
- WMT (Walmart): Staples strength + taking share in grocery — direct Amazon competitor worth watching.

AMZN CONTEXT: Amazon is lagging today but still at 64% of its 52-week range, which means it's been a middle-of-the-pack mega-cap performer this year. Not a leader, not a laggard — it's set up as a show-me story into earnings. Winners get re-rated higher; disappointments get sold hard.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like it but I'm not pounding the table three weeks before earnings when the options market is clearly nervous.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough that a bad earnings print doesn't ruin your year.

ENTRY POINTS: I'd scale in — some at \$254, more at \$245 if we get a flush into earnings. Avoid chasing above \$265 pre-print.

TIME HORIZON: 12-24 months — the real payoff is AI monetization showing up in AWS numbers through 2027.

WHEN TO BAIL: AWS growth drops below 15%, FTC wins a structural remedy, or capex runs away without revenue to match. Any of those three, I'm cutting the position in half.

HEDGING: Easiest hedge is buying a January \$240 put — it's insurance that pays off if earnings disappoint. Costs you some upside but lets you sleep. If you don't do options, just keep the position size moderate and keep dry powder for the dip.